



Bank Alfalah

ALFA LEAD **ASSESSMENT** **CENTER**



Case Study

The Untapped Millions

Key Terms — Quick Reference

Cross-sell ratio	Average number of banking products held per customer (e.g., account + card + loan = 3.0)
NPL (Non-Performing Loan)	A loan where the borrower has missed payments or is unlikely to repay; usually overdue by 90+ days
Consumer-active branch	A branch with trained staff and product setup to originate consumer loans and credit cards
Pre-approved offer	A product offer generated by the bank based on a customer's existing data, without the customer applying
MAU (Monthly Active User)	A user who logs into or transacts on the Alfa app at least once in a calendar month
Attrition rate	The percentage of active cards lost each period due to cancellations, charge-offs, or prolonged dormancy

The Customer Moment

Zara, a 27-year-old textile export coordinator in Faisalabad earning PKR 185,000 a month, walks into a Bank Alfalah branch to ask about an auto loan. She has held a salary account for three years, making her a strong candidate for credit card, personal finance, and auto-finance conversations. She receives general product guidance, and wishes she got more clarity on eligibility checks, next steps, and a seamless digital follow-up.

After the visit, Zara opens a fintech app to compare credit options. Her journey reflects a wider opportunity: salaried customers increasingly expect banking that feels fast, simple, and personalized. Growth can be accelerated through proactive cross-sell and digitally supported branch engagement.

The Horizon

Pakistan's consumer finance market is at an inflection point. The State Bank of Pakistan reduced the policy rate from 22% in June 2024 to 12% - the interest rate at which the SBP lends money to banks - by early 2026, improving affordability and creating a window for retail lending growth. Penetration remains low, with around 3.3 million credit cards nationally and limited auto-loan depth relative to vehicle sales.

Market activity is also increasing. Conventional banks, Islamic finance providers, and fintech models are shaping expectations around instant eligibility, simple journeys, and app-based access.

Customer Growth Avenue

For customers like Zara in rural areas, Bank Alfalah can extend its digital strengths more consistently into branch-led interactions. Branch teams can be enabled with product prompts, eligibility guidance, and clearer next-step communication. Current auto-loan journeys may take 7 to 12 days, creating an opportunity to improve turnaround time while maintaining credit discipline.

Credit card application outcomes among salaried individuals show room to improve approval conversion, with around 40% not progressing to approval. This points to an opportunity to refine segmentation, data use, and suitability checks.

Young professionals, freelancers, shopkeepers, and ride-hailing drivers increasingly want to know what they qualify for before applying. They value pre-approved offers, shorter journeys, and products designed around varied income patterns.

Bank Alfalah's Opportunity

Bank Alfalah closed 2025 with deposits of PKR 2.49 trillion, gross advances of PKR 1.15 trillion, an AAA credit rating, and a Capital Adequacy Ratio of 15.87%. It holds an estimated 20% share of Pakistan's credit card market with 461,000 active cards.

The opportunity is to convert customer access into product depth. The bank's cross-sell ratio is 1.6 products per customer against a regional benchmark of 2.5, and 22% of account holders have received a pre-approved offer through any channel. Top urban branches provide scalable practices for rural-area branches.

The target is to grow active credit cards from 461,000 to 500,000 by December 2026 while keeping consumer NPLs below 5.0%.

Crunch the Numbers

The consumer finance division wants to project whether the 500,000 active credit card target is achievable by December 2026. The following data is available:

- Current active credit card base: 461,000 (as of January 2026).
- Monthly new card acquisitions average 12,000, split 60% from branch referrals and 40% from digital channels (Alfa app, website, telesales).
- The branch referral channel grows at 3% per quarter; the digital channel grows at 10% per quarter (both compounding on the previous quarter's monthly figure).
- Monthly attrition runs at 2.5% of the opening active base each month.
- The bank plans to launch an instant digital credit card on 1 July 2026 (Q3 2026), projected to add a flat 3,000 incremental new acquisitions per month from that date onward, on top of existing digital channel numbers.

Assumptions for Calculations

1. Attrition of 2.5% applies monthly to the opening active base for that month.
2. Channel growth rates (branch 3%, digital 10%) compound each quarter on the previous quarter's monthly acquisition figure.
3. The instant digital credit card launches on 1 July 2026 (start of Q3 2026). From that date, add 3,000 per month on top of the digital channel's compounded figure.
4. All calculations should be built month by month, then aggregated into quarterly snapshots.
5. Ignore seasonality and assume uniform monthly performance within each quarter.
6. The target NPL ceiling for the consumer book is 5.0% — any recommendation must not breach this threshold.

Based on the above:

1. Project the active credit card base quarter by quarter from Q1 2026 through Q4 2026. Will the bank reach the 500,000 target by December 2026?
2. If the target is not met, what quarterly growth rate would the digital channel need to sustain (instead of 10%) to close the gap — assuming all other variables remain constant?

Your Strategic Objective

Your team must design a **12-month growth** plan to increase consumer-product penetration among Bank Alfalah's existing salary-account customers in rural areas. The plan should improve Zara's branch-to-digital experience within 30 days and scale within 12 months.

Your growth plan should cover:

- The core opportunity and factors affecting product penetration.
- First-year actions and why they should be prioritized.
- How Bank Alfalah can stand out against banks and fintechs.
- Key risks and controls.
- Metrics that show the plan is working.

Present your growth plan as a team. Be specific, realistic, and ready to explain your choices.

Note: Certain facts and figures in this case study have been fictionalized for contextual purposes and may differ from actual data.